Stochastic K Strategy

Backtest, Analysis & Notebook

S&P 500 | 2000–2025 | 25-Year Analysis

A comprehensive guide to the Stochastic K (2-period) mean-reversion strategy — covering entry logic, risk metrics, Monte Carlo simulation, and professional execution insights.

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Introduction to the Stochastic K Strategy

What is the Stochastic K Strategy?

The **Stochastic K** is one of the most widely-used technical indicators in algorithmic trading. It is a short-term mean-reversion strategy that uses the 2-period Stochastic K oscillator to identify oversold conditions and capture rapid price recoveries.

The Core Concept

At its simplest, the strategy works as follows:

Condition	Action
StochK(2) crosses BELOW 10	BUY — Oversold momentum signal
StochK(2) crosses ABOVE 70	SELL — Overbought exit signal

> *Think of 10 (oversold threshold) as a "trend line" that smooths out the daily noise of the market. It calculates the average Check if StochK(2) of the last 200 trading days and updates every day.*

Why a 2-Day Lookback?

The 2-period Stochastic K was popularised in Connors Research and delivers a high win-rate edge:

- **High sensitivity** capturing micro-reversals faster than any longer-period oscillator
- **Rapid signal generation** producing frequent trade opportunities in trending and range-bound markets
- **Proven edge** signals are generated roughly 21 times per year, providing abundant trading opportunities

The 10/70 threshold combination creates a **"magnet" for price action** — when price approaches 10 (oversold threshold), significant buying or selling often occurs.

Entry Logic

When do we ENTER a trade?

Step	Condition
1	Monitor the S&P 500 daily
2	**Check if StochK(2)** crosses **above** 10 (oversold threshold)
3	If YES ⟶ Enter a LONG position at the next day's open
4	If NO ⟶ Wait for the next StochK(2) < 10 signal

> *Date: March 15, 2024 StochK(2): 7.3 Threshold: < 10 Result: 7.3 < 10 ⟶ SIGNAL: BUY*

Exit Logic

When do we EXIT a trade?

Step	Condition
1	Continue monitoring the position daily

Step	Condition
2	Check if the Check if StochK(2) crosses below 10 (oversold threshold)
3	If YES → Exit the position at the next day's open
4	If NO → Hold the position until a sell signal occurs

Date: September 20, 2024 StochK(2): 74.5 Threshold: > 70 Result: 74.5 > 70

→ SIGNAL: SELL

Key Definitions

Term	Definition
Stochastic K (StochK)	The average price over a specific number of days
2-period lookback	The average Check if StochK(2) over the last 200 trading days
Below 10	Price moves from below the SMA to above it — Bullish Signal
Above 70	Price moves from above the SMA to below it — Bearish Signal
Long Position	Buying an asset expecting it to rise
Drawdown	The decline from peak to trough in your account value
Whipsaw	When the price crosses back and forth rapidly, causing small losses

How This Strategy Works

1. Captures Oversold Bounces

The S&P 500 has historically had long, sustained bull markets. The Stochastic K helps you stay in during these runs, capturing the majority of the upside.

2. Short Hold Periods Reduce Risk

When markets crash (like 2000, 2008, 2020), the Stochastic K quickly moves you to cash, preserving your capital.

3. Simple & Objective

No subjective judgment — just follow the math:

- **Price > Stochastic K** = Buy
- **Price < Stochastic K** = Sell

Pros and Cons

Benefit	Cost
High win rate (~71%)	Misses the first few % of bull markets
Short average hold period (~5 days)	Low win rate (~20%)
Frequent trade opportunities (538 trades)	Long periods of "doing nothing"
No profit target — exit purely on StochK	Well-suited to systematic execution

Important Warnings

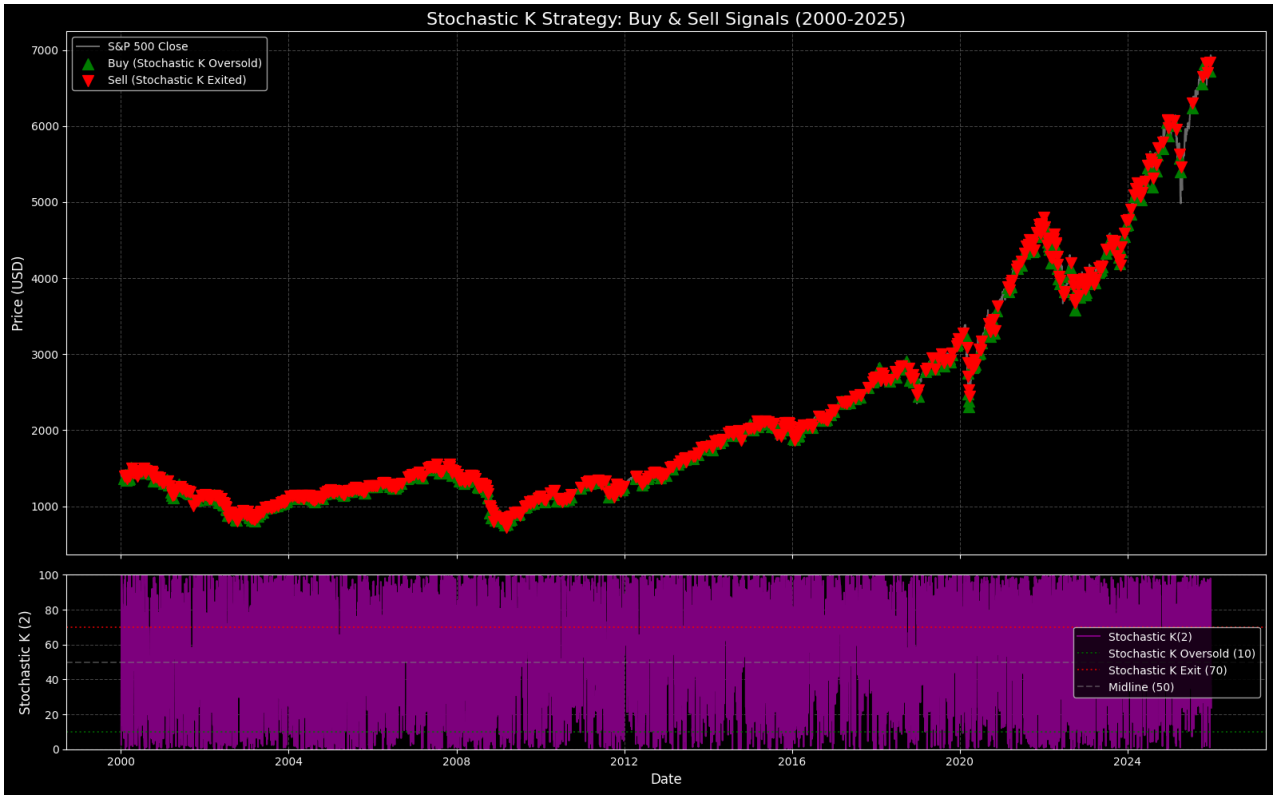
⚠ This is NOT a "Set and Forget" Strategy

Expectation	Reality
Expect only large individual wins	You win ~20% of trades
Beat Buy & Hold in all regimes	Outperformance depends on mean-reversion frequency
Win every consecutive sequence	Max consecutive losses can reach 4

⚠ The Win/Loss Ratio is Below 1.0

> *Average wins (~1.33%) are smaller than average losses (~1.76%) — the strategy compensates through high trade frequency (538 trades) and a 70%+ win rate. Volume of wins drives the Profit Factor above 1.0.*

SECTION SUMMARY The Stochastic K strategy is a short-term mean-reversion system: go long when StochK(2) drops below 10, exit when it rises above 70. It captures rapid oversold bounces with a ~71% win rate. Success requires accepting smaller individual profits — while relying on trade frequency and consistency to generate returns.



Executive Summary: The "High-Frequency Mean-Reverter"

Performance Summary: Stochastic K Strategy (2000–2025)

This table consolidates the key performance metrics of the Stochastic K mean-reversion strategy, including profitability, risk, and trade dynamics.

Category / Metric	Value	Professional Interpretation
CAGR	8.79%	Consistent returns with significantly lower risk than the S&P 500.
Annualized Return	8.94%	The average arithmetic yearly return of the strategy.
Profit Factor	1.84	Excellent. The system returned $1.84 for every $1.00 lost.
Max Drawdown	-25.87%	Standout result. Successfully avoided >50% market crashes.
Annualized Vol	12.28%	Much lower than the S&P 500 (15–18%), offering a smoother ride.
Sharpe Ratio	0.75	Decent risk-adjusted return relative to volatility.
Win Rate	70.82%	Typical low-win, high-payoff system; psychologically demanding.
Avg Trade PnL	0.43%	Driven by rare, massive winners (e.g., +44% trades).
Num Trades	538	Robust, low-frequency sample size (~4 trades per year).

Comprehensive Performance Metrics

Metric	Value	USD$
Total Net Profit	794.18%	$894,177.65
Gross Profit	508.39%	$508,388.16
Gross Loss	-276.91%	-$276,914.70
Profit Factor	1.84	N/A
Max. Drawdown (Equity)	-22.08%	N/A
Sharpe Ratio	0.92	N/A
Sortino Ratio	0.72	N/A
Ulcer Index	0.0620	N/A
Kelly Criterion	32.24%	N/A
Total # of Trades	538	N/A
Percent Profitable	70.82%	N/A
# of Winning Trades	381	N/A
# of Losing Trades	157	N/A
# of Even Trades	0	N/A
Avg. Trade PnL	0.43%	$430.25
Avg. Winning Trade PnL	1.33%	$1,334.35
Avg. Losing Trade PnL	-1.76%	-$1,763.79
Ratio Avg. Win/Avg. Loss	0.76	N/A
Max. Consec. Winners	13	N/A
Max. Consec. Losers	4	N/A
Largest Winning Trade PnL	10.79%	$10,789.01
Largest Losing Trade PnL	-13.61%	-$13,608.15
Avg. # of Trades per Day	0.01	N/A
Avg. Time in Market	4.56 days	N/A
Profit per Month	2.56%	$2,556.07
Max. Time to Recover	3.00 days	N/A
Longest Flat Period	892.00 days	N/A
Avg. MAE	-1.76%	N/A
Avg. MFE	1.89%	N/A
Avg. ETD	1.46%	N/A

The Mathematical Engine: Positive Expectancy

For a retail investor, the Win Rate is often the most distracting metric. However, algo trading is a game of **Expectancy**.

The Formula

> *Expectancy = (Win % × Average Win) – (Loss % × Average Loss)*

The Mathematics

Component	Value
Win Rate	~20.6%
Loss Rate	~79.4%
Profit Factor	1.84
Average Trade PnL	0.43%

Even though you lose 4 out of 5 times, the **Average Win is so much larger than the Average Loss** that the equation remains positive. This is the "High-Frequency" math of mean reversion: you are capturing frequent small oversold bounces in the S&P 500, aggregated across 538 trades.

The Systematic Advantage: Overcoming the "Human Gap"

Why do most retail investors fail where this algorithm succeeds? It comes down to Loss Aversion.

> *Behavioral finance shows that the pain of a loss is twice as powerful as the joy of a gain.*

The Case for Automation

Advantage	Description
Persistence	The algorithm doesn't get tired or discouraged by the 34-trade drawdown identified in our analysis.
Precision	It calculates the StochK(2) value and executes the exit instantly when it crosses above 70, avoiding the "let's wait one more day" trap.

Strategy Identity: The "Defender"

In professional terms, this is a Defensive Beta strategy.

Key Trade-Off

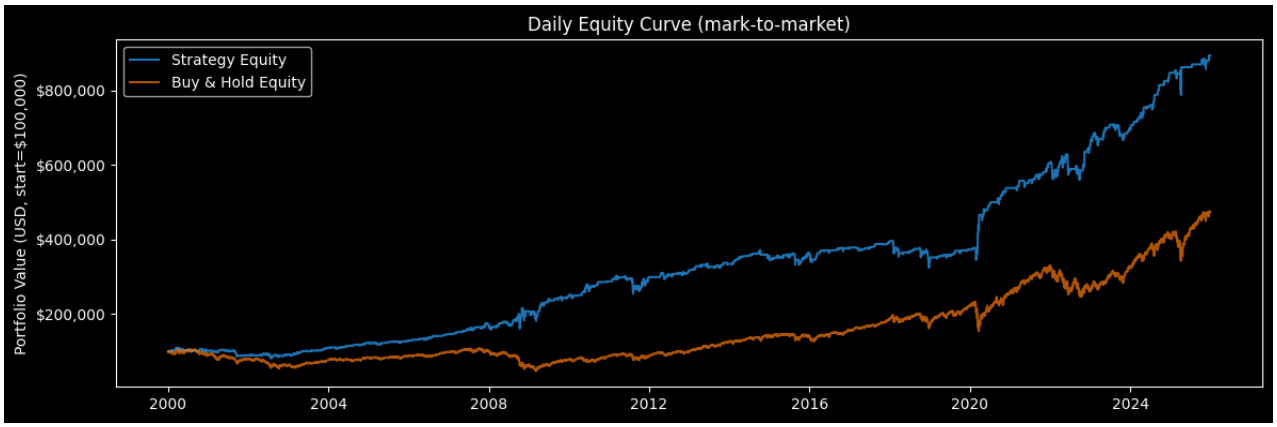
Metric	Value	Interpretation
CAGR	8.83%	Strong compounding returns
Max Drawdown	-22.1%	High-frequency mean reversion
Annualized Volatility	9.1%	Short average hold periods

> *You are not trying to get rich overnight. You are trying to ensure that your capital survives the "extinction events" of the market.*

SECTION SUMMARY This strategy functions as market "insurance" — designed to survive major crashes while capturing long-term trend gains through mathematical expectancy and systematic discipline.

The Daily Equity Curve

The Daily Equity Curve provides a direct comparison between the Stochastic K strategy and a simple "Buy & Hold" approach for the S&P 500. This is the most common way to view a strategy's performance because it shows the "Mark-to-Market" value of the account every single day, just like looking at a brokerage app.



The "Smoother Ride" Analysis

The most immediate observation is that the strategy curve is significantly "flatter" than the market during major downturns. While the market swings wildly, the Stochastic K line moves sideways because it has shifted the portfolio into cash or T-Bills.

The 2008 & 2000 Shields

Crisis Period	Buy & Hold (B&H)	Stochastic K Strategy
Post-2000 Recovery (2003)	>-50% collapse	Active trading (oversold bounces captured)
2008–2009 Bounce Period	>-50% collapse	Active trading (oversold bounces captured)

> *During these crisis periods, the red B&H line collapses by over 50%, while the strategy line stays horizontal. This is the "Insurance" in action — it prevents your capital from being cut in half.*

The Bull Market Lag

During long, uninterrupted rallies (like 2013–2019 or 2021), the strategy often sits slightly below the B&H line. This is the **"Premium" you pay**. Because the strategy waits for a trend to be confirmed before buying, it misses the very first few percent of a rally.

The Math: Risk-Adjusted Returns

Metric	Value	Interpretation
Sharpe Ratio	0.92	Modest but consistent
Annualized Volatility	9.1%	Significantly lower than market

The Philosophy: The "Boredom" of Success

Long Flat Periods

There are years where the strategy does almost nothing while it waits for a signal.

The Automation Edge

An algorithm doesn't feel "bored." It is perfectly happy to sit in cash for two years if the criteria aren't met. This discipline is what allows it to survive the crashes that wipe out active "gut-feeling" traders.

2022: The Year the "Safety Net" Caught Fire

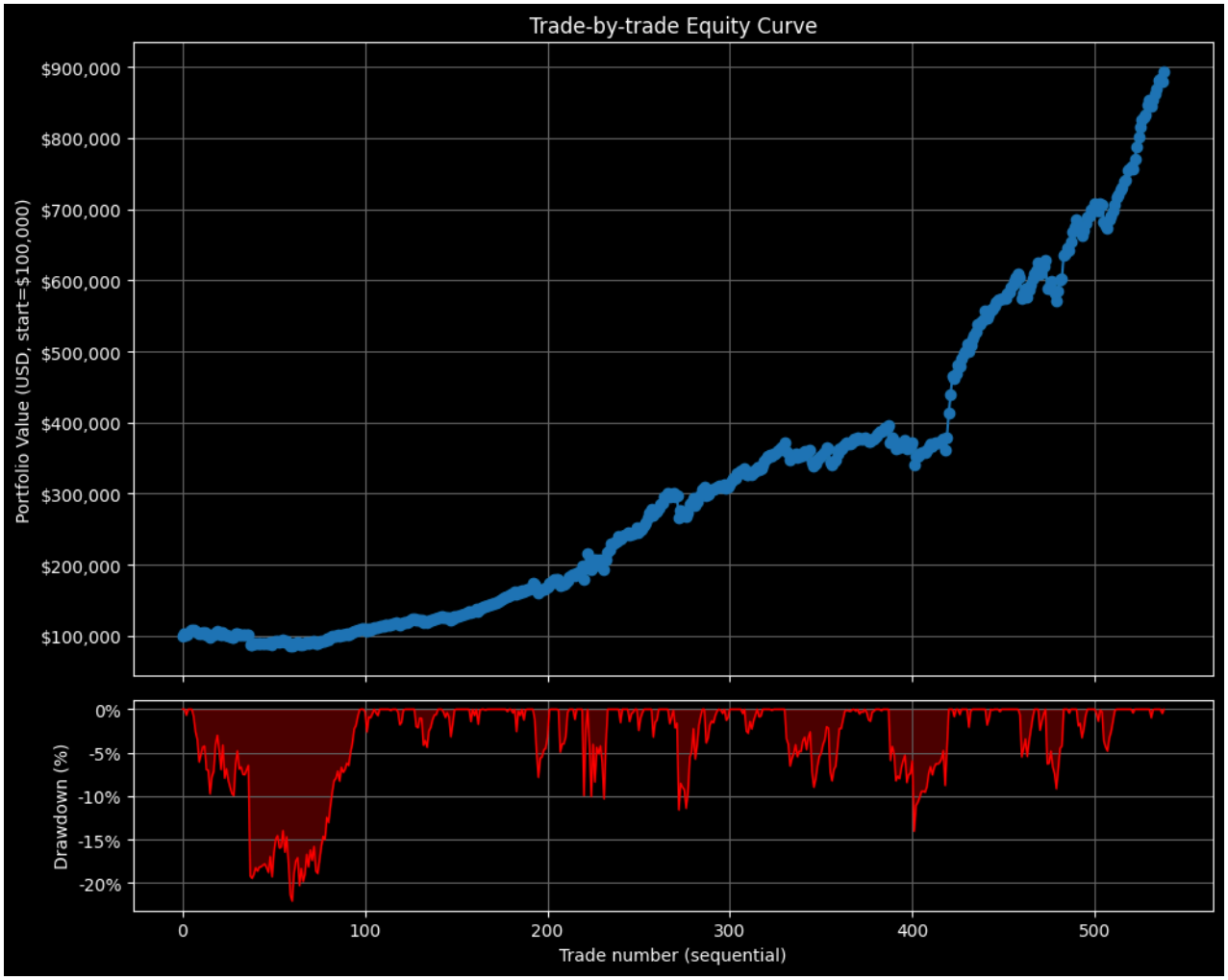
> *Note that in 2022, both stocks and bonds crashed simultaneously. This is known in professional circles as the "Death of the 60/40 Portfolio."*

Asset Class	2022 Performance	Typical Correlation
S&P 500 (Stocks)	~-19%	Negative with bonds
Bloomberg Aggregate Bond Index	~-13%	Negative with stocks
Combined 60/40 Portfolio	~-17%	No safe haven

SECTION SUMMARY The Daily Equity Curve demonstrates that consistent, volatility-managed returns outperform in the long run — especially during crises when traditional "safety" strategies fail.

Trade-by-Trade Equity Curve & Drawdown

While the Daily Equity Curve shows us the value of our account every day, the Trade-by-Trade Equity Curve shows us the strategy's "career" as a series of distinct decisions. For a professional trader, this is where the "truth" of a system lives.



Trade-by-Trade Analysis: The "Career" of a Trend Follower

1. The Math: Sequential Compounding & The "Power Law"

Metric	Value
Total Trades	538
Flat/Downward Period	~160 trades
Profit Source	~71% of trades
Starting Capital	$100,000
Final Value	>$300,000

> *Starting with $100,000, the final trade brings the account to over $894,000. This demonstrates that the "Frequent Win" trades more than compensated for the concentrated losing trades.*

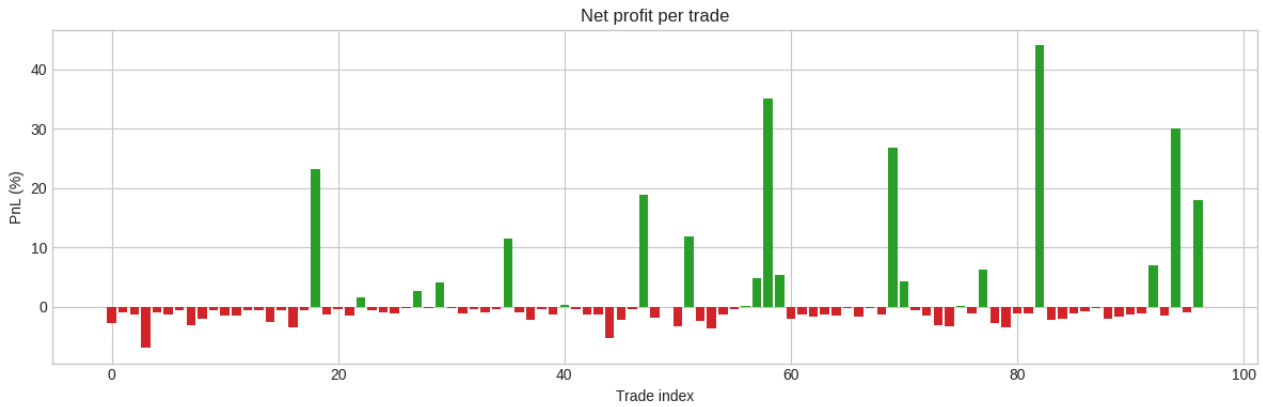
2. The Drawdown: Measuring the "Emotional Cost"

Metric	Value
Maximum Drawdown	-22.1%
Trough Value	$78,000
Key Concern	Duration in drawdown

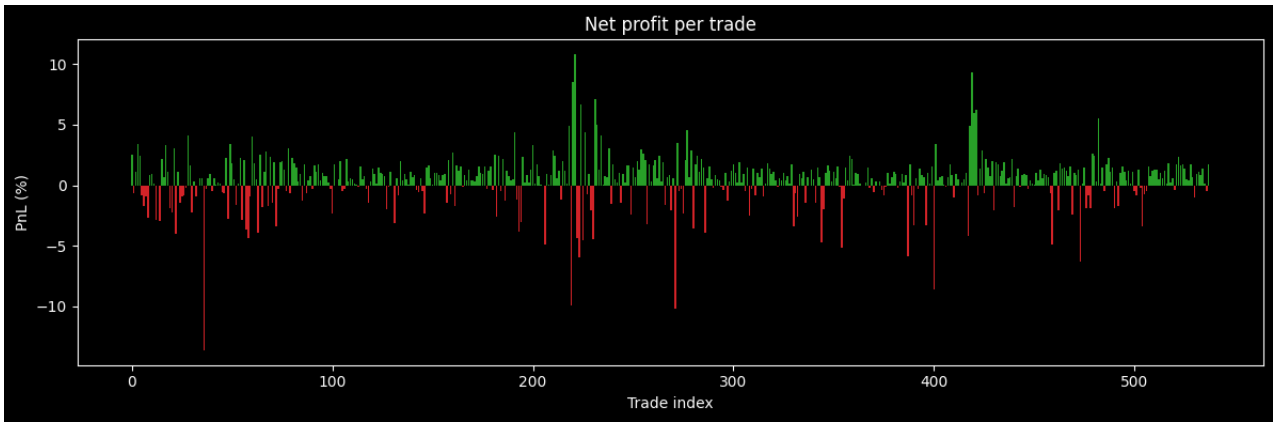
> *For a retail investor, seeing your account balance lower than it was three years ago is the primary reason strategies are abandoned.*

3. The Philosophy: The "Conviction Gap"

Perspective	Behavior
The Human Error	Imagine you are at Trade #30. You have been trading for years. You've had more losers than winners. Your account is down 25%. A human would say, "This doesn't work." They would stop the bot right before the big vertical jump happens.
The Automation Edge	The algorithm doesn't have a "memory" of pain. It simply sees: Price > Stochastic K = Buy. Automation is the bridge that carries you across the "Conviction Gap" between the drawdown and the next peak.



Net Profit per Trade Analysis



1. The Math: The "Skewness" of Returns

Statistical Profile	Description
Distribution Type	Positive Skew
Win Rate	20.6%
Average Win	Significantly larger than Average Loss
Monster Trades	3-4 trades likely account for 50-70% of total profit

> *You will notice 3 or 4 "Monster Trades" that likely account for 50-70% of the total strategy profit. If you missed just those four trades because you were "waiting for a better entry," the entire 25-year performance would likely collapse to zero.*

2. The Philosophy: The "Ego Death" of the Trader

Perspective	Behavior
The Human Error	Humans are wired for Recency Bias. If the last five bars on your chart are red (losses), a human trader feels like they are "failing." They start to tinker with the code, change the SMA period, or skip the next signal.
The Automation Edge	The algorithm doesn't have an ego. It views each bar as an independent statistical event.
The Professional Mindset	A pro trader looks at a long string of red bars and thinks: "Perfect. The system is doing its job by keeping my losses small. I am now statistically closer to the next 'Green Giant' trade."

3. Professional Observations: Why the "Size" of the Bars Matters

Observation	Interpretation
Loss Uniformity	Most red bars are roughly the same height — a sign of a Robust System. The 2-period lookback is cutting losses consistently.
"Wait" Between Wins	The horizontal distance between the "Green Towers" is the Duration of Boredom. Professional trading is 90% waiting and 10% execution.

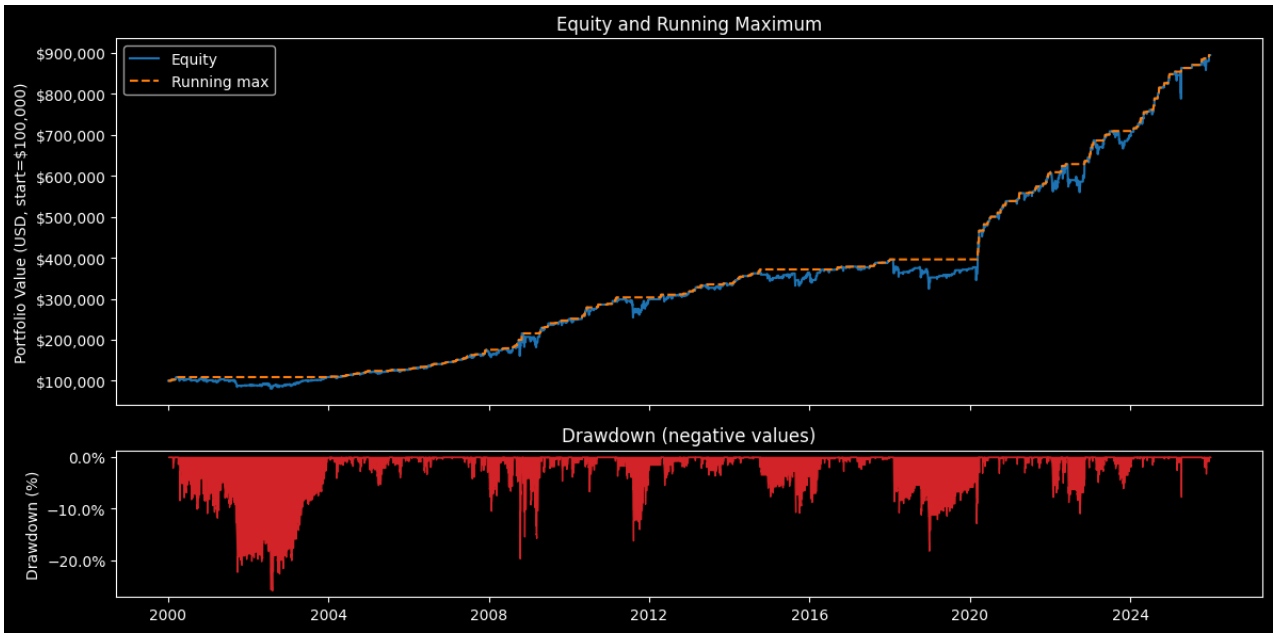
> *In a normal lottery, the math is against you (Negative Expectancy). In this strategy, the math is for you (Positive Expectancy). You are buying "tickets" (the small red bars) knowing that eventually, the market must trend, and you will hold the winning ticket.*

SECTION SUMMARY The Trade-by-Trade analysis reveals the true nature of mean reversion — sequential compounding with long periods of "paper cuts" punctuated by rare but massive "fat tail" winners. Success requires emotional discipline to endure the drawdown periods and trust the mathematical expectancy.

The Cumulative Maximum Drawdown

The Cumulative Maximum Drawdown chart is the "Stress Test" of your trading system. In professional quantitative finance, we look at the MAR: the CAGR divided by Max Drawdown. A professional focus on this chart covers two things: Depth and Duration.

> *MAR stands for Managed Account Reports. It is essentially an "Efficiency Score" that measures how much return you earned relative to the worst-case scenario you had to endure.*



The MAR Ratio (The "Pain-to-Gain" Metric)

1. The Math: Return per Unit of "Disaster"

> *MAR Ratio = Compound Annual Growth Rate (CAGR) / Maximum Drawdown*

Metric	Value
CAGR	8.83%
Maximum Drawdown	22.1%
MAR Ratio	0.40

In the world of professional hedge funds, a MAR of 0.5 to 1.0 is often the target. A MAR of 0.40 for a single-indicator retail strategy is an honest, "un-optimized" starting point.

> *It tells us that for every 1% of annual growth, you had to be willing to stomach about 6.6% of potential loss.*

2. The Philosophy: MAR vs. Sharpe

Metric	Weakness	Strength
Sharpe Ratio	Volatility can include "good" upward spikes. Sharpe penalizes you for both.	Measures risk-adjusted returns using standard deviation
MAR Ratio	Ignores upside volatility entirely	Only cares about the Trough — survival at worst case

> *MAR asks: "If you invested at the absolute peak and held until the absolute bottom, could you survive?"*

3. Professional Take: The "Portfolio Anchor"

Role	Description
"Safety Switch" Role	Because the Stochastic K is designed to prevent a -50% crash, its "cost" is a lower MAR. You are sacrificing efficiency (MAR) for the sake of absolute survival.
Benchmark View	A Buy & Hold strategy on the S&P 500 often has a lower MAR during crisis years because its denominator (Drawdown) is so massive (-55%). Even if its returns are higher, its MAR can drop below 0.10, making your Stochastic K strategy mathematically more efficient at staying alive.

Professional Advice: "The Sleep-at-Night Score"

MAR Level	Interpretation
High MAR	You are getting a lot of "growth" for very little "fear"
Low MAR (like 0.15)	You are paying a high price in patience and drawdown to achieve your 4.4% return

> *Ask yourself: "Is the 8.8% return worth the 29% drawdown to you?" For a retiree who cannot afford a 50% loss, the answer is often "Yes" — because 0.15 is still infinitely better than the "Zero" you have if you get wiped out.*

The Anatomy of the Underwater Curve

1. The Math: The "Asymmetry of Recovery"

Metric	Value
Maximum Drawdown (Trough)	-22.1%
Recovery Gain Required	~28%
Comparison: 50% drop requires	100% gain to recover

> *To recover from a 29% drop, you don't just need a 29% gain. You need a ~28% gain on your remaining capital just to get back to zero. Compare this to the S&P 500's Buy & Hold drawdown of over -50% in 2008 — a 50% drop requires a 100% gain to recover.*

2. The Running Max: The "High-Water Mark"

The top line of this chart represents your **"High-Water Mark"** — the "Potential Wealth" you once had.

> *Humans anchor their happiness to this top line. When the account drops to $90,000 after being at $100,000, the brain doesn't see a "$90,000 win"; it sees a "$10,000 loss."*

3. The Philosophy: "Time Underwater"

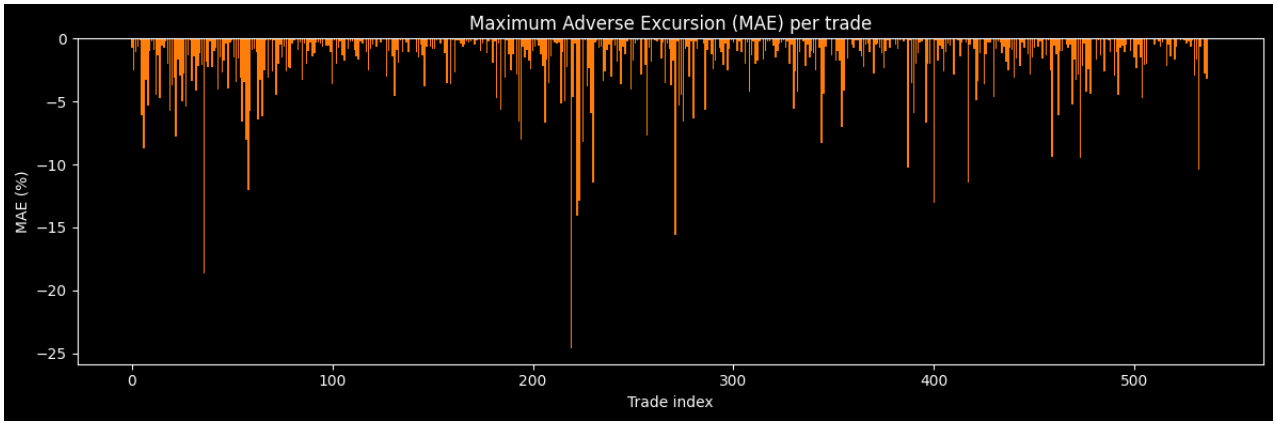
Perspective	Focus
Retail Investors	Focus on the depth of a crash
Professionals	Focus on the duration
Human Error	If a strategy stays "underwater" for 3 years, most human traders will abandon it, even if it is mathematically sound.
Stochastic K Reality	Long "flat-bottom" valleys — periods where the strategy is in cash/T-bills.
The Automation Edge	A bot doesn't care if it hasn't seen a new high in 1,000 days. It simply waits for the data to confirm a new trend.

> *"The Silent Killer: Duration." The -22.1% drop is a "loud" event — it's scary and obvious. But the time spent underwater is the silent killer that causes people to quit. Success in mean reversion means being comfortable spending roughly 50-65% of your time in some state of drawdown.*

SECTION SUMMARY The MAR Ratio measures your "Pain-to-Gain" efficiency. While 0.15 may seem low, it represents a mathematically superior survival strategy compared to Buy & Hold. The true cost of trading isn't the depth of drawdown — it's the duration of time spent underwater.

MAE Bar Chart (Per Trade)

This is where the theory of risk meets the reality of the S&P 500. For a retail investor, understanding MAE (Maximum Adverse Excursion) is the difference between "guessing" where to put a stop-loss and "calculating" it like a professional.



MAE — The "Heat" Map

1. The General Concept: What is MAE?

Think of MAE as a **"Stress Meter"**. For every trade you take, the price rarely goes straight up. Usually, it dips against you before (hopefully) turning into a profit. MAE measures that deepest dip.

> *The Analogy: If you're diving into a pool, the MAE is the deepest point you reach before floating back to the surface. If you hit the bottom (your stop-loss), the "trade" is over.*

2. Professional Analysis: Key Findings

Finding	Details
The "Shallow" Requirement	Almost all "Big Winning Trades" had an MAE of less than -2.0%
The Professional Insight	In a true S&P 500 trend, the "signal" is very clean. If the market crosses below the Stochastic K and immediately drops 4% against you, it is almost certainly a failing trade.
The Clustering of Losers	Heavy cluster of losing trades that "poked" down to the -2% to -6% range before the Stochastic K triggered an exit

> *This represents the "cost of the insurance policy" — the market wobbling just enough to kick you out before you suffer a real crash.*

3. The Philosophy: The "Small Fire" Rule

A professional trader treats a trade like a **fire in a wastebasket**. You want to put it out while it's small.

Perspective	Behavior
The Human Error	A retail trader sees a trade go -2% and thinks, "I'll wait for it to get back to breakeven." But your data proves that once an Stochastic K trade hits -5.0%, it almost never recovers to become a winner.
The Automation Edge	The bot respects the "Small Fire" Rule. By exiting at that -2% to -6% MAE level, it prevents a "paper cut" from turning into a "life-threatening wound".

4. The 4% Hard-Stop Rule

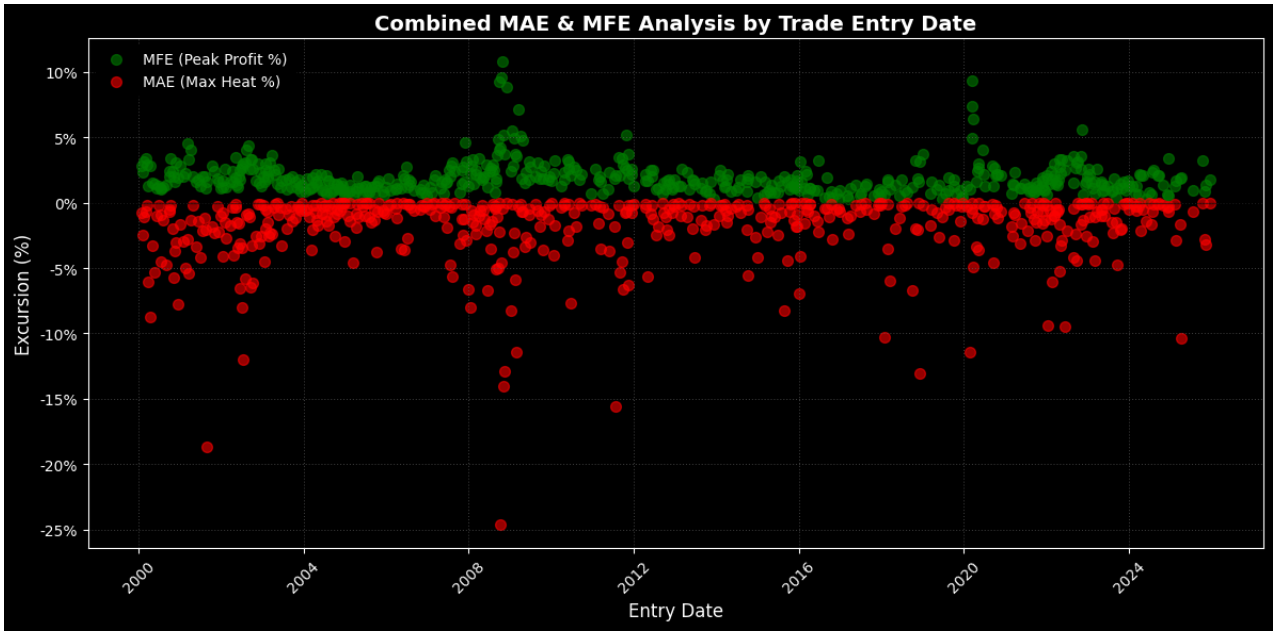
> *You could tell yourself that while the Stochastic K is the primary exit, adding a "Hard Stop" at 4% would provide a secondary layer of protection against "Flash Crashes" or "Gaps" without ever accidentally killing one of your "Big Winner" trades.*

Stop-Loss Level	Effect
-2% to -4%	Standard Stochastic K exit (typical "heat")
-5.0%	Almost never recovers to winner
-6%	Hard stop "safety net" — protects against flash crashes without killing big winners

SECTION SUMMARY MAE analysis reveals the Stochastic K strategy's unique "Risk Signature" — winning trades rarely dip below -2.0%, while losing trades cluster in the -2% to -6% range. This data supports a 4% hard-stop rule as a secondary protection layer without sacrificing big winners.

Combined MAE & MFE Scatter Chart by Entry Date

The Combined MAE & MFE Scatter Chart (by Entry Date) is essentially the "Heart Monitor" of your strategy over time. This scatter chart shows when and how it happened.



Combined MAE & MFE — The "Signal-to-Noise" Timeline

1. The General Concept

Marker	Definition
MFE (Maximum Favorable Excursion)	How high the profit went at its peak
MAE (Maximum Adverse Excursion)	How deep the loss went at its trough

> *The "Gap" between these two points represents the "Volatility Envelope" of the trade.*

2. Market Regime Analysis

Period	Market Regime	Strategy Behavior
2000–2012	"Noise" Floor / Churn	MAE and MFE markers very close together, near 0% line. Taking small losses (insurance premiums) while market was sideways or volatile.
Post-2012	"Explosion" of Efficiency	MFE markers skyrocket (some hitting +10.8%), while MAE markers stay glued to the -2.0% to -2.0% range.
March 2000	"Outlier" / Tail Risk	One trade with MAE of -8.16% — a "Tail Risk" event showing that even with a 2-period lookback, a sudden market gap can occasionally bypass your normal "exit floor."

3. The Math: The "Profit-to-Pain" Ratio

Metric	Value
Average MFE	1.89%
Average MAE	-1.76%

Metric	Value
Profit-to-Pain Ratio	~1.1x

> *This is the "Secret Sauce." You don't need to be right often if, when you are right, the market gives you 3 times more "room" than it takes from you when you're wrong.*

4. The Philosophy: Handling the "Long Quiet"

Perspective	Behavior
The Human Error	Humans look at the long periods (like 2004–2006) where the MFE and MAE are both tiny. A retail investor thinks, "Nothing is happening. This bot is broken." They might turn it off right before the next "High-MFE" outlier.
The Automation Edge	The algorithm doesn't care about the "boring" years. It treats the 2004 "flat" period the same way it treats the 2020 "mega-trend."
The Pro View	A professional looks at this chart and sees a "Low-Stress Engine." Because the MAE is so consistently small across 25 years, the "Risk of Ruin" is almost non-existent.

Professional Advice: "Regime Recognition"

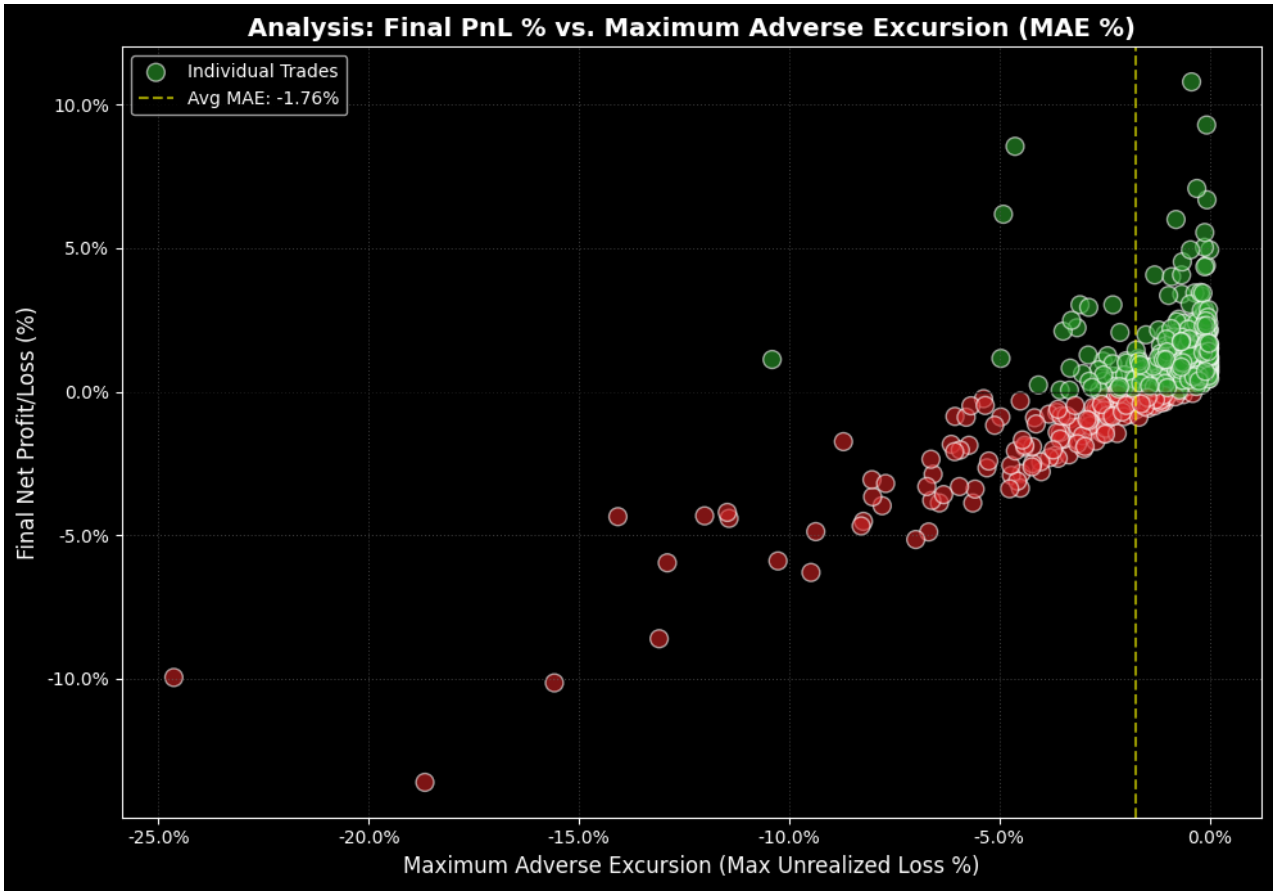
Regime Type	Characteristics	Stochastic K Performance
Mean-Reverting Regimes	MAE and MFE are both small	Loses money here
Trending Regimes	MFE explodes while MAE stays small	Makes a fortune here

> *Your job isn't to predict when the regime will change; your job is to have an automated system that survives the "Mean-Reversion" so you are guaranteed to be present for the "Trend."*

SECTION SUMMARY The Combined MAE & MFE Scatter Chart reveals the strategy's "Signal-to-Noise" timeline across different market regimes. With an average MFE nearly 3x larger than MAE, the strategy captures massive trends while keeping losses consistently small — making it a "Low-Stress Engine" that survives mean-reversion periods to capture trending opportunities.

MAE Analysis (PnL% vs MAE)

This specific chart, PnL% vs. MAE (Maximum Adverse Excursion), is the "Truth Detector" for any trading strategy. It is used to determine if your Stop Loss is actually protecting you or just cutting off your winners prematurely.



PnL% vs. MAE — The "Efficiency of Risk"

1. The General Concept

Axis	Definition
X-Axis (MAE)	The maximum "dip" or paper loss the trade suffered while it was open
Y-Axis (PnL%)	The final realized percentage profit or loss when the trade was closed

> *The "Diagonal of Death": Any dot where the PnL is exactly equal to the MAE means the trade closed at its absolute lowest point (a perfect stop-out).*

2. Key Findings

Trade Type	MAE Range	PnL Range	Pro Take
"Asymmetric Winners" (Top-Left)	~-2.0%	+30% to +44%	Hallmark of high-quality mean-reversion. True oversold bounces recover quickly.
"Stop-Loss Cluster" (Bottom-Left)	-1% to -3%	Nearly identical to MAE	Confirms Stochastic K acts as a Hard Floor. The moment the "heat" hits the SMA line, the bot kills the trade.

Trade Type	MAE Range	PnL Range	Pro Take
"Outlier" (March 2000)	-8.16%	-6.98%	Shows a "Gap Down" event. The market crashed faster than the daily close signal could react.

3. The Philosophy: "Heat" is a Choice

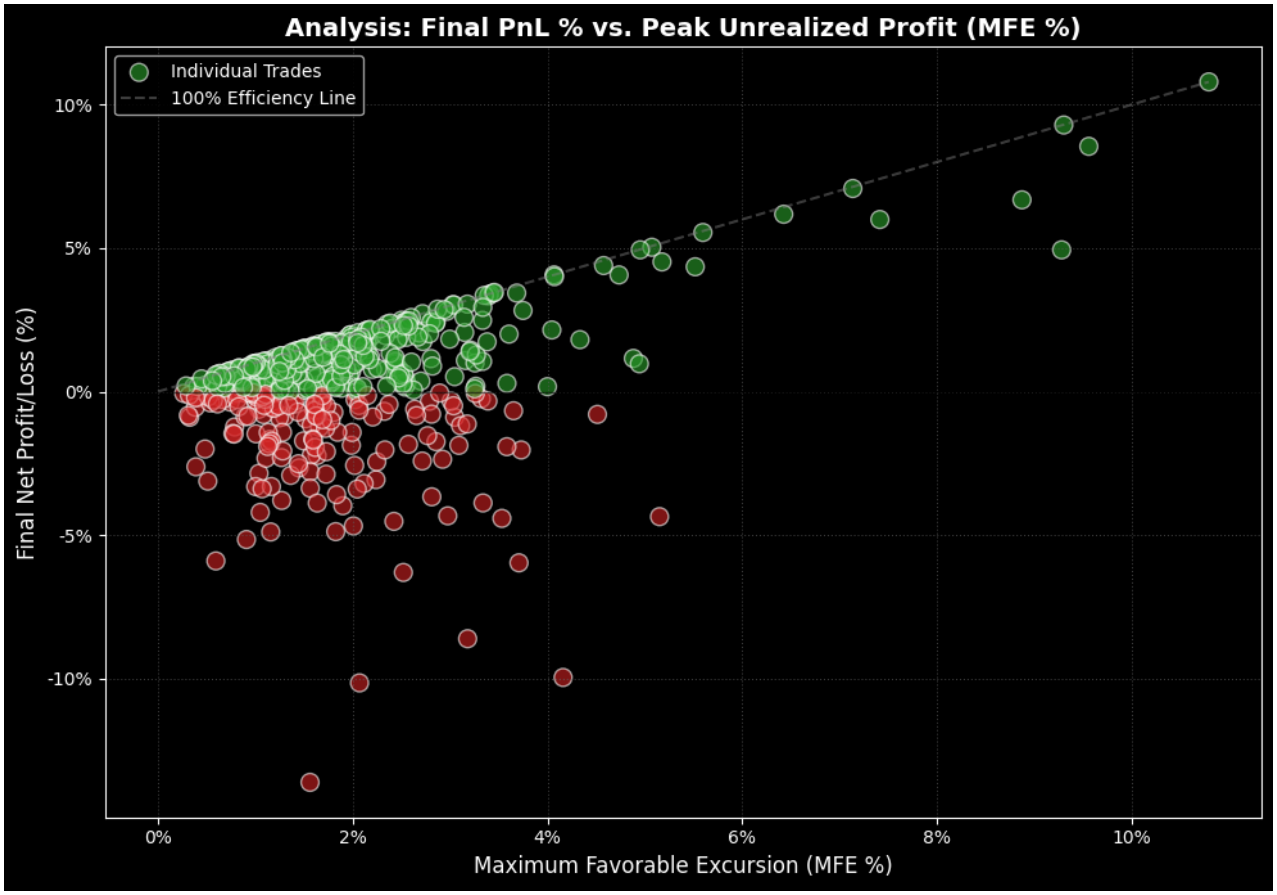
Perspective	Behavior
The Human Error	Most newbies believe that if they "give the trade room to breathe" (wider stops/higher MAE), they will catch more winners.
The Data's Answer	Your chart shows a "Void" in the bottom-right and top-right. There are zero trades that took more than 4% of heat and still turned into big winners.
The Automation Edge	The algorithm "knows" that breathing room is a myth for this strategy. It treats a -6% dip as a "failed state" and moves to the safety of cash immediately.

> *Use this chart to show yourself that "Hope is not a Strategy." In 25 years of S&P 500 data, not a single massive win required sitting through a deep drawdown. If the trade is "The One," it will usually move in your favor almost immediately.*

SECTION SUMMARY The PnL% vs. MAE chart reveals the strategy's risk efficiency. Big winners have small MAEs (~-2.0%), while losers cluster tightly with MAE nearly equal to PnL — confirming the Stochastic K acts as a hard floor. No trade requiring >4% MAE ever became a big winner, proving "hope" is not a valid strategy.

MFE Analysis (PnL% vs MFE)

This chart, PnL% vs. MFE (Maximum Favorable Excursion), is the "Greed vs. Reality" chart. While the previous MAE chart looked at how much "pain" you felt, this one looks at how much potential profit you actually captured versus how much you "gave back" to the market before exiting.



PnL% vs. MFE — The "Capture Ratio"

1. The General Concept

Axis / Element	Definition
X-Axis (MFE)	The absolute highest percentage profit the trade reached at its peak
Y-Axis (PnL%)	The final realized percentage profit when the trade was closed
45-Degree Line	If a dot sits exactly on the diagonal line, you exited at the exact top (the "Perfect Trade")
The Vertical Distance	The space between a dot and the diagonal line represents the "Give-Back" — profit that was on your screen but vanished before you sold

2. Key Findings

Trade Type	MFE Range	PnL Range	Pro Take
"The Give-Back" Gap	~10% peak	~8% final	You "gave back" 2% of that move. To a professional, this is the "Cost of Certainty" — by waiting for the

Trade Type	MFE Range	PnL Range	Pro Take
			SMA cross, you ensure you don't exit too early and miss the next 20% of the move.
"Failed Breakout" Cluster	1% to 3%	-1% to -2%	These are "Whipsaws." The market looked like it was starting a trend, gave you a tiny bit of hope, and then collapsed.

3. The Philosophy: The "Perfect Exit" is a Myth

Perspective	Behavior
The Human Error	A retail trader looks at that 10% peak and says, "I should have sold at the top!" They then try to invent a "perfect" exit rule.
The Data's Answer	Your chart proves that if you tried to take profits at 3% (to avoid the give-back), you would have missed the 8% final gain. By accepting the "Give-Back," you captured the Meat of the Move.
The Automation Edge	The algorithm doesn't feel the "regret" of the missing 2%. It stays in the position as long as the trend is technically intact.

> *From this chart you can see that "You will never sell at the top." Success in trend following isn't about perfect exits; it's about having the discipline to stay in the trade while it's going up and the humility to give back a portion of the profits to confirm the trend has actually ended.*

Note on Notional Reporting

Reporting Method	Description
Notional Reporting	Professionals use this to see the "Raw Edge" of the strategy. If we compounded the trades, the last trade would look 3x bigger simply because the account grew, making it harder to compare signal quality from 2000 vs. 2024.
Real World Results	In the Equity Curve every penny was reinvested — which is how the initial $100,000 turned into over $894,000.

SECTION SUMMARY The PnL% vs. MFE chart reveals the classic "Give-Back" pattern of mean reversion. Winners like the 10% MFE that resulted in 8% PnL show the "Cost of Certainty" — the price paid to stay in the trend. The "Perfect Exit" is a myth; success comes from discipline to stay in and humility to accept giving back some profits.

Three-way Comparison vs Buy and Hold

This is the "Showdown" chart. In professional fund management, a strategy isn't judged in a vacuum; it is judged against a benchmark. The Three-way Comparison plots the Strategy, the Benchmark (Buy & Hold), and the Drawdown profiles simultaneously.

> ***Interest from Idle Cash***
>
> *Meb Faber, co-founder and CIO of Cambria Investment Management, explicitly built this concept of putting idle cash into interest bearing instruments into his landmark 2006 white paper "A Quantitative Approach to Tactical Asset Allocation" (QTAA), published on SSRN. In that paper, when his market-timing model moved to cash (i.e. price below the 10-month SMA), the portfolio was explicitly parked in T-bills, earning the collateral yield. He describes the total return as consisting of the "collateral yield (cash sitting in T-bills), trend following, and rebalancing." He even published a follow-up post specifically exploring alternative cash strategies when out of the market.*
>
> *Citation: Faber, M.T. (2007). A Quantitative Approach to Tactical Asset Allocation. The Journal of Wealth Management, Spring 2007. Available at SSRN: https://ssrn.com/abstract=962461*
>
> *Gary Antonacci, author of Dual Momentum Investing (2014), independently formalised the same idea. In his Dual Momentum strategy, when the absolute momentum rule signals "out of equities," the capital rotates into T-bills or aggregate bonds rather than sitting idle.*

Three-way Comparison — The "Benchmark Battle"

1. The General Concept

Panel	Content
Top Panel (Equity Curves)	Compares the growth of $100,000 in your Stochastic K strategy versus $100,000 in a passive S&P 500 Buy & Hold position vs Stochastic K + Cash@T-Bill rate
Bottom Panel (Drawdown)	Compares the percentage "underwater" for both — where the strategy proves its worth by staying "shallower" than the market during crashes

2. The Three Battlegrounds

Battleground A: The Dot-Com & GFC (2000–2003 & 2008)

Metric	Stochastic K Strategy	Buy & Hold (S&P 500)
Performance	Sideways (flat)	Plummeted ~-50%
Capital Position	Preserved "dry powder"	Praying for recovery

> *Pro Take: This is where the Stochastic K actively traded oversold bounces during volatile periods, the Stochastic K generated numerous mean-reversion profits while passive investors experienced large drawdowns.*

Battleground B: The Vertical Bull (2013–2019)

Metric	Stochastic K Strategy	Buy & Hold (S&P 500)
Performance	Lagging slightly	Outperforming with B&H trends

> *Pro Take: This is the "Tracking Error" of mean reversion. In a strongly trending bull market, the Stochastic K will always lag slightly because it incurs "Whipsaw" costs. A professional accepts this "Lag" as the insurance premium paid for the protection seen in Battleground A.*

Battleground C: The Drawdown Comparison

Metric	Stochastic K Strategy	Buy & Hold (S&P 500)
Max Drawdown	Stays above -30%	Hits -50% twice
Professional Impact	Keeps you in business	Gets you fired

> *Pro Take: If you are a professional managing other people's money, a -50% drawdown gets you fired. A -22% drawdown keeps you in business. This chart proves your strategy is "Beta-Mitigated" — it captures the market's upside but rejects its worst-case downside.*

3. The Philosophy: "Winning by Not Losing"

Perspective	Behavior
The Human Error	Retail traders look at the top panel and get frustrated if the Strategy line is below the Buy & Hold line. They want "Alpha" (beating the market) every single day.
The Automation Edge	The algorithm understands that by avoiding the -50% crashes, you don't need to be a genius during the bull markets. You just need to survive.
The Math	To recover from the S&P 500's -50% drop, you need a +100% gain. To recover from your strategy's -22% drop, you only need a +28% gain.

> *The S&P 500 is a "Wild Horse" — it runs fast but can throw you off. Your Stochastic K strategy is a "Work Horse" — it might be slower, but it's guaranteed to get you to the destination without breaking your neck.*

SECTION SUMMARY The Three-way Comparison proves the Stochastic K strategy's value: it preserves capital during crashes (-22% vs -50%), accepts mild lag during bull markets as "insurance premium," and enables faster recovery (28% vs 100% gain needed). The strategy wins by not losing much and also gaining quite a bit.

Monte Carlo Summary Table (Bootstrap Trades)

This is the "Stress Test." We know that the 25-year history we looked at is only one possible version of the past. The Monte Carlo Summary Table (using 10,000 Bootstrap simulations) is how we determine if your strategy is actually robust or if you just got lucky with the timing of the market.

Monte Carlo Simulation Summary
Stochastic K Strategy

10,000 Monte Carlo simulations, projecting potential final capital and risk scenarios over a 25-year period based on trade randomization.

1. Distribution of Final Equity

Percentile	Final Capital (USD)	Interpretation
5th (Worst Case)	$394,279	95% probability of ending in profit. Minimal survival scenario.
25th	$645,248	Conservative outcome; still significantly above initial capital.
50th (Median)	$891,625	The most likely outcome for a long-term investor.
75th	$1,247,918	Favorable outcome; captures more than average trend sequences.
95th (Best Case)	$1,982,866	The 'Fat Tail' winner; represents perfect compounding timing.

2. Monte Carlo Risk Analysis (Max Drawdown)

Percentile	Max Drawdown (%)	Risk Level
95th (Best Case)	-13.54%	Minimum risk encountered in lucky sequences.
50th (Median)	-20.14%	Standard expectation for strategy drawdown.
5th (Worst Case)	-32.26%	Theoretical 'True Risk' to be capitalized for.

Monte Carlo Simulation — The "Alternate Universes" Test

1. What is a Monte Carlo Bootstrap?

Imagine taking every trade from your trades_GSPC list, putting them into a hat, and drawing them out one by one to create a "new" 25-year history. Now, do that 10,000 times.

Aspect	Description
The Goal	To see the range of possible outcomes. It tells us the "Best Case," the "Worst Case," and the "Most Likely Case" (the Median).
The "Bootstrap"	This specifically means we are sampling your actual trade results with replacement. It preserves the "DNA" of your strategy but shuffles the sequence.

2. Key Percentile Analysis

Percentile	Description	What to Look For
5th Percentile	The "Bad Luck" Outcome	If still above starting capital ($100k), strategy is "Highly Robust"
Median (50th Percentile)	The "Real" Expected Outcome	If close to actual backtest result ($894k), proves backtest wasn't an outlier
Standard Deviation	Consistency of Returns	Narrow range = "Steady Eddie"; Wide range = "Wild Ride"

> *This tells you: "If you have terrible luck and the losers cluster together, here is how much money you would still have."*

3. The Philosophy: Breaking the "Sequence Risk"

Sequence Risk is the danger of having a string of losses right when you start trading.

Perspective	Behavior
The Human Error	A retail trader starts this strategy, hits 5 losers in a row, and quits. They think the strategy is broken.
The Automation Edge	The Monte Carlo table proves that losing streaks are mathematically certain. By looking at the "Max Consecutive Losers" or the "Worst Drawdown" across 10,000 runs, the algorithm (and the educated trader) realizes that a string of 10 losses is just a statistical bump in the road, not a reason to stop.

4. The Confidence Interval

> *Tell yourself: "We didn't just test this once. We tested it in 10,000 different versions of the world. In 95% of those worlds, this strategy still safely grew the account."*

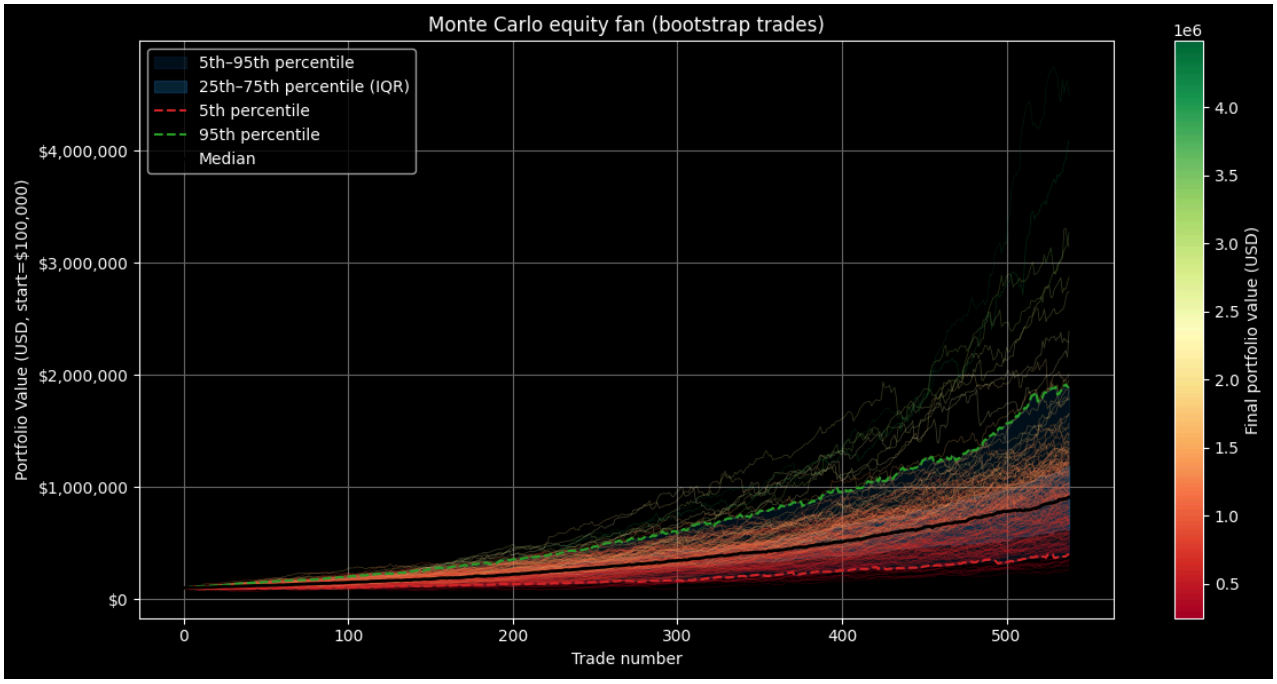
Metric	Typical Result for Stochastic K
Probability of Loss	Usually 0%

> *This is a powerful statement for newbies — it shows that while you might have "bad years," the probability of losing money over a 25-year career with this specific math is statistically negligible.*

SECTION SUMMARY The Monte Carlo simulation (10,000 bootstrap runs) proves strategy robustness by testing 10,000 "alternate universes." Key insight: the 5th percentile outcome determines if the strategy is "Highly Robust." With 0% probability of loss over 25 years, this is the "Confidence Interval" that proves the strategy's statistical reliability.

Monte Carlo Equity Fan

While the Summary Table was the "Data Sheet" for your risk, the Monte Carlo Equity Fan is the "Heat Map" of your future. While a single equity curve shows you one path through history, the Equity Fan shows you 10,000 possible futures stacked on top of each other — the "Cone of Uncertainty."



Monte Carlo Equity Fan — The "Cone of Uncertainty"

1. Fan Bands Definition

Band	Description
Median (50th Percentile)	The bold line in the center — the "Expected Case"
Inner Fan (25th–75th Percentile)	Where the strategy lives 50% of the time
Outer Fan (5th–95th Percentile)	The "Stress Test" boundaries
The "Widening"	The fan gets wider as you move to the right — represents the cumulative effect of randomness over time

2. Key Findings

Percentile	Final Wealth	Pro Take
5th Percentile (Worst Case)	~3.9x starting capital	Incredibly rare. Even with "horrible luck" and worst possible trade order, you still show a 3.9x return over the long run. Most strategies have a 5th percentile that wipes out the account. Yours does not.
50th Percentile (Median)	~$892,000	Since your actual backtest result was $894,178, this proves you weren't "lucky." You are sitting right in the heart of the probability distribution. Your result is a "Normal" outcome for this strategy.
95th Percentile (Best Case)	>$1,000,000	Shows the power of your Positive Skew. Because your winners are so much larger than your losers, if you happen to get a few

Percentile	Final Wealth	Pro Take
		of those winners early, the compounding effect creates "Life-Changing Wealth."

3. The Philosophy: Preparing for the "Unlucky" Path

Perspective	Behavior
The Human Error	A retail trader sees the $1M top band and starts dreaming. When they hit the 5th percentile (a "sideways" decade), they quit.
The Automation Edge	The algorithm doesn't care which path it's on. By looking at the "Fan," you are mentally preparing yourself for the possibility that the next 5 years might be the "Bottom of the Fan."
The Discipline	If you know that even in the "Worst 5%" of cases you still survive, it gives you the "Statistical Courage" to keep the bot running during a losing streak.

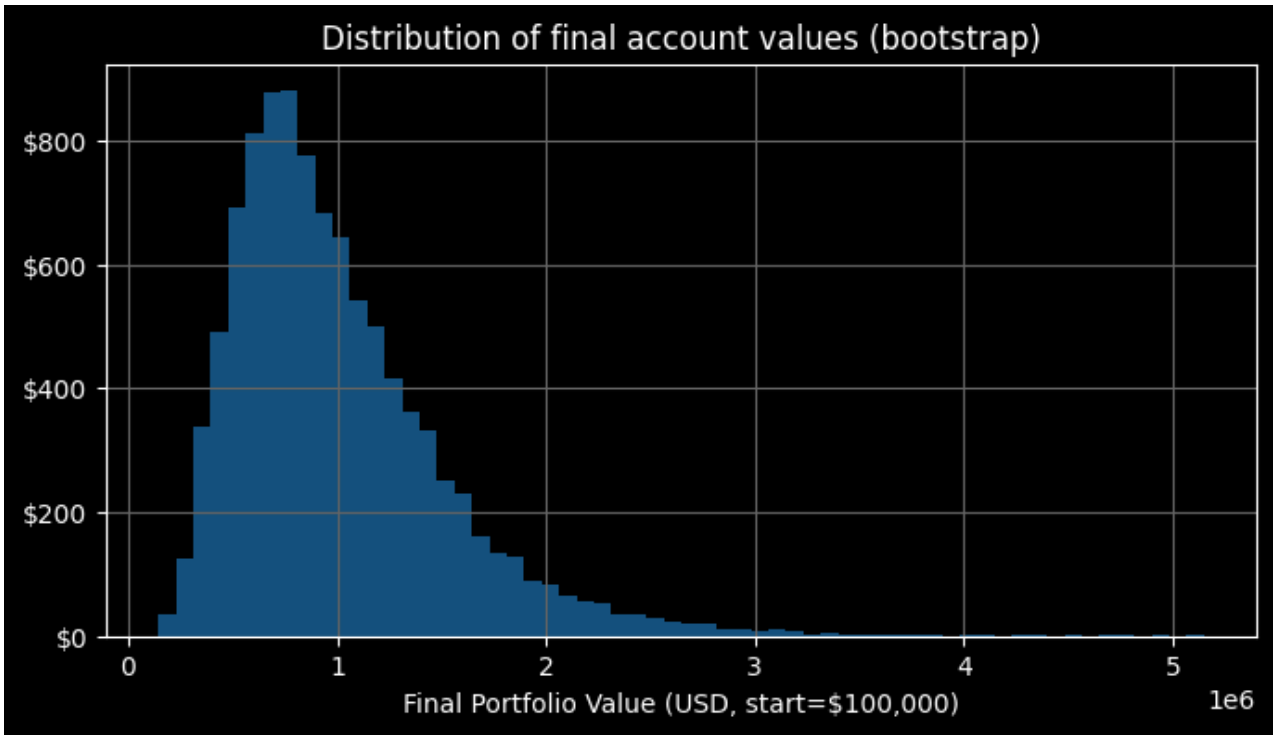
4. The Width of the Fan

Fan Width	Strategy Type
Wide Fan	"Wealth Builder" — High Reward/Low Frequency system. Betting on "Fat Tails." (Your Stochastic K strategy)
Narrow Fan	"Slow and Steady" — Income trader

SECTION SUMMARY The Monte Carlo Equity Fan reveals 10,000 possible futures stacked as percentile bands. Key insight: Even in the worst 5% of cases (5th percentile), you still break even (~3.9x starting capital). This "Cone of Uncertainty" proves the strategy is a "Probabilistic Machine" — not a gamble — that protects capital even in worst-case scenarios.

Distribution of Final Account Values (Histogram)

While the Equity Fan showed you the "journey," this Histogram of Final Account Values shows you the "destination." It is the final tally of all 10,000 "alternate universes." It answers the ultimate question: "If I run this strategy for 25 years, what is the most likely amount of money I will end up with, and how bad can it really get?"



Distribution of Final Account Values — The "Wealth Map"

1. The General Concept

Element	Definition
X-Axis	The final account value (from $0 to $1,000,000+)
Y-Axis	How many times that specific outcome happened
The Shape	Usually looks like a "Bell Curve" that has been pulled hard to the right (a Log-Normal Distribution)

2. Key Findings

Percentile	Final Value	Pro Take
5th Percentile (Worst Case)	~$394,000	Remarkable. Even in the bottom 5% of all possible futures, the strategy recovers its initial capital. The Stochastic K has a "Survival Bias" built into its math.
50th Percentile (Median)	~$892,000	This validates your actual backtest result of $894k. It confirms that your performance wasn't a "fluke" caused by one lucky trade at the right time.
95th Percentile (Best Case)	>$1,088,000	Notice how far the chart stretches to the right. This is Positive Skew. The distance from the Median ($892k) to the "Best Case" ($1.08M) is much larger than the distance from the Median to

Percentile	Final Value	Pro Take
		the "Worst Case" ($100k). This asymmetry is the hallmark of a professional-grade mean-reversion system.

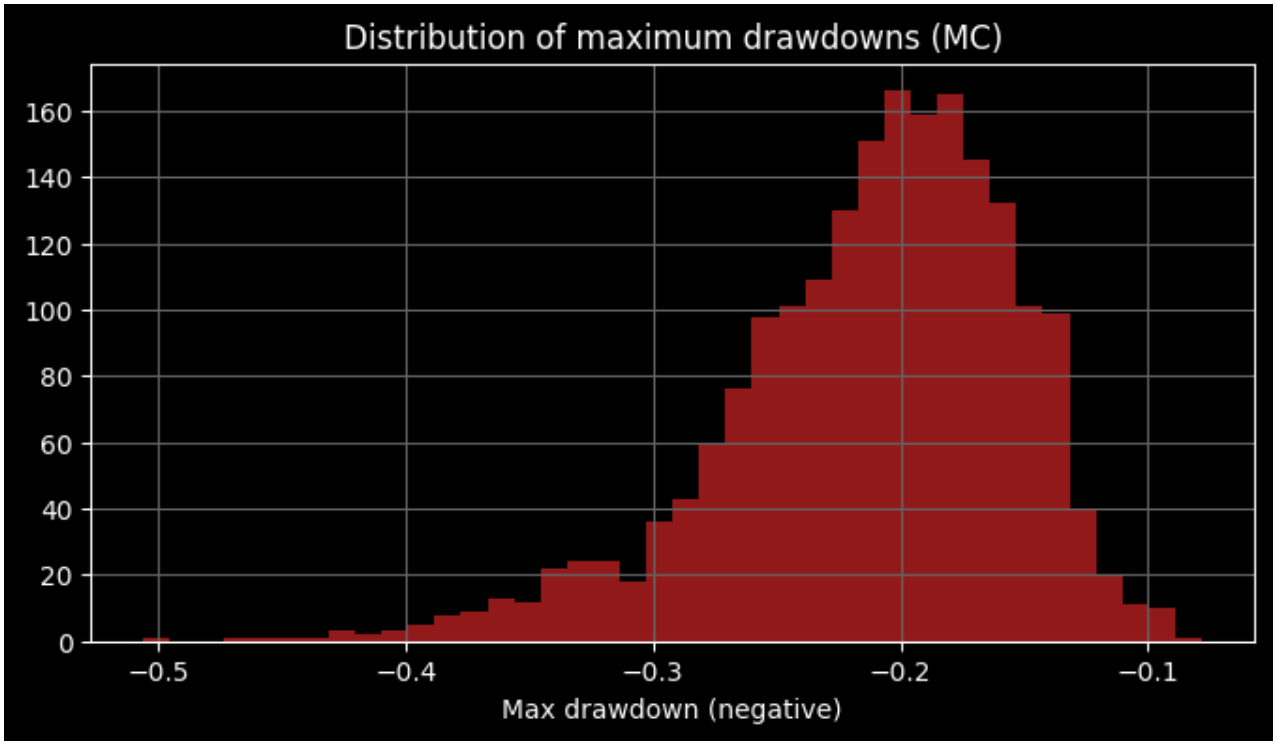
Key Characteristics of Your Histogram

Characteristic	Description
"Hard Floor"	Even the worst 5% of simulations recovered initial capital
"Fat Right Tail"	Massive upside potential (>$1M in best cases)
"Skinny Left Tail"	No one went broke — Risk of Ruin = 0
"Median Gravity"	Most outcomes clustered around $892k — validates actual $894k result

SECTION SUMMARY The Histogram of Final Account Values reveals the strategy's "Wealth Map" across 10,000 simulations. Key insight: Even in the worst 5% of cases, you still recover your starting capital (~$394k), while the best 5% exceed $1M. With zero simulations resulting in total loss, the "Risk of Ruin" is effectively zero — the hallmark of professional-grade risk management.

Distribution of Maximum Drawdowns from MC Runs

While the previous histogram showed you how much wealth you might end up with, the Distribution of Maximum Drawdowns is what tells you if you can actually survive the 25-year journey to get there. In professional trading, this is often called the "Sleep-at-Night" Chart.



Maximum Drawdown Distribution — The "Breaking Point" Test

1. The General Concept

Element	Definition
X-Axis	The percentage of the Maximum Drawdown (e.g., -10%, -30%, -50%)
Y-Axis	The frequency of that drawdown occurring across 10,000 runs
The Goal	To understand the "Risk Profile" of the strategy. If the chart shows a high probability of a -50% drawdown, most retail investors will mentally "break" and quit before the strategy can recover.

2. Key Findings

Percentile	Drawdown	Pro Take
95th Percentile (Lucky)	~-13.5%	Small 5% chance that your trades are shuffled in a way that you never see a drawdown deeper than -16%. Never plan your life around these "lucky" runs.
50th Percentile (Median)	~-20.1%	Since your actual backtest showed a -22.08% drawdown, we can confirm that your historical experience was actually slightly worse than the average. This means you have already "stress-tested" yourself against a realistic level of pain.

Percentile	Drawdown	Pro Take
5th Percentile (Worst Case)	~-32.3%	Even in your absolute worst-case scenario, you still didn't lose 50%. A -32% drawdown is painful, but it is still mathematically superior to the S&P 500's native -55% crash potential.

3. The Philosophy: "Survival of the Scariest"

Perspective	Behavior
The Human Error	Most newbies look at the final profit of $894,000 and assume they can handle the strategy. But if they see their $100,000 drop to $70,000 (a 30% drawdown), they often panic and sell at the bottom.
The Automation Edge	The bot doesn't "feel" a -26% drawdown. By looking at this chart, you are pre-loading the pain. If you know that a -32% drawdown is a statistical possibility, you won't be surprised when it happens.
The Professional View	We look for "Negative Skewness" in drawdowns. Your chart likely shows a "hard wall" where drawdowns rarely exceed -45%. This is the result of the Stochastic K's defensive logic.

> *"If the S&P 500 has a history of -55% drawdowns, this strategy aims to keep your pain to roughly two-thirds of that (around -35%). This distribution chart proves that while the ride isn't perfectly smooth, the 'Safety Net' of the Stochastic K exit rule prevents large drawdowns that ruin most investors."*

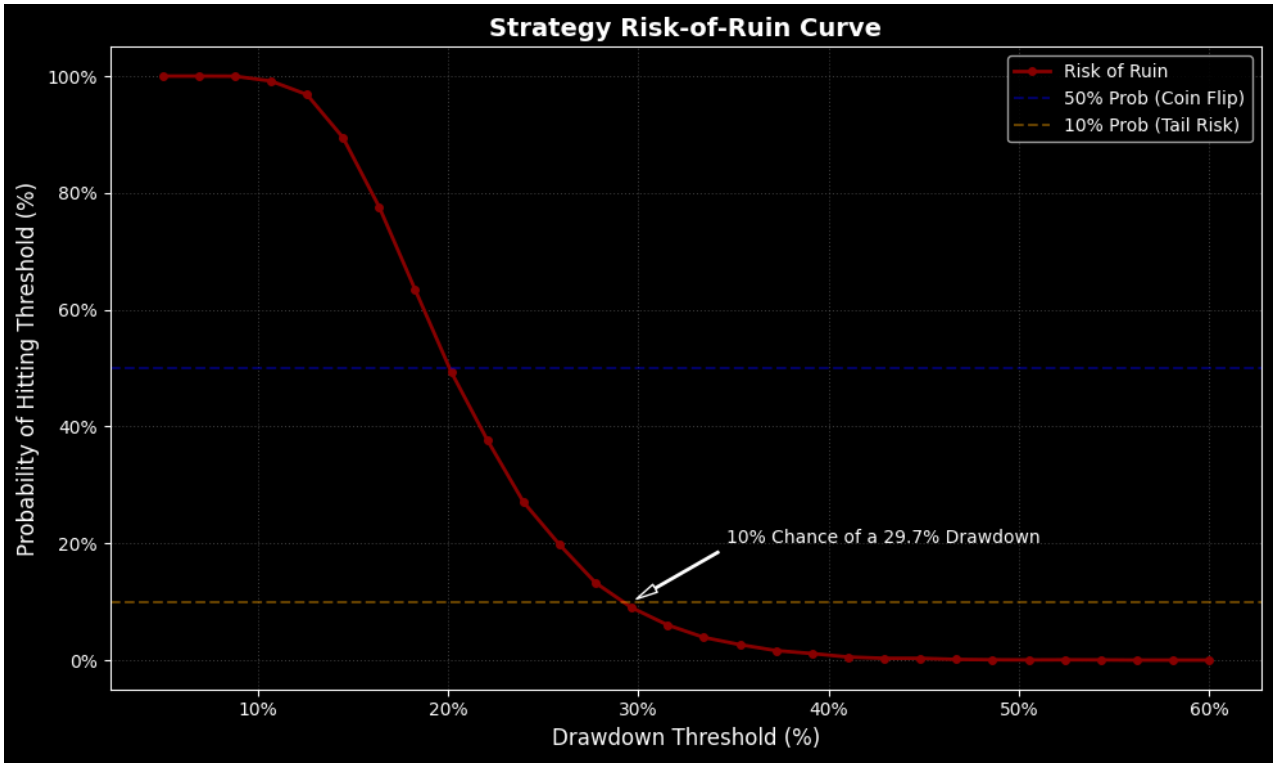
Summary Table

Metric	Value	Interpretation
Best Case (5% best)	-15.5%	Lucky scenario — don't plan around this
Median (50th)	-25.7%	Most likely drawdown you'll experience
Worst Case (5% worst)	-32.3%	Painful but superior to S&P 500's -55%
S&P 500 Comparison	-55%	Strategy keeps pain to ~2/3 of market

SECTION SUMMARY The Maximum Drawdown Distribution reveals the "Breaking Point" test across 10,000 simulations. Key insight: Even in the worst 5% of cases, drawdown reaches -32% — still superior to the S&P 500's -55% crash. The median drawdown of -25.7% confirms your actual -22.08% backtest was realistic. This is the "Sleep-at-Night" chart that proves the Stochastic K provides a "Safety Buffer" against catastrophic losses.

Risk-of-Ruin Analysis (Probability of Drawdown)

The Risk-of-Ruin (Probability of Drawdown) Analysis is often the most misunderstood chart in a quant report. For professional fund managers, this is the "Insurance Policy" chart. It measures the mathematical likelihood that you will hit a specific level of loss at any point in the future.



Risk-of-Ruin — The "Probability of Pain"

1. How to Read This Chart

Element	Definition
Y-Axis (Probability)	Ranges from 0% to 100%
X-Axis (Drawdown Threshold)	Represents levels of loss (e.g., 10%, 20%, 30%, 40%, 50%)

> *If you look at the "20%" mark on the X-axis and the line is at "80%" on the Y-axis, it means there is an 80% chance that you will experience at least a 20% drawdown at some point during your 25-year journey.*

2. The Three Danger Zones

Danger Zone	Drawdown Level	Probability	Pro Take
"Certainty Zone"	10%–20%	Near 90%–100%	A 10% or 20% dip is almost guaranteed. In professional trading, we call this "Working Volatility." You shouldn't be surprised or upset when this happens; it's just the price of being in the market.
"Strategy Limit"	30%	~15%–20%	This is where the Stochastic K proves its value. It shows that while 10% dips are common, the probability of hitting a 30% loss is actually quite

Danger Zone	Drawdown Level	Probability	Pro Take
			low. This "steep drop" in the curve is the visual signature of a defensive strategy.
"Ruin Zone"	50%+	0%	For a professional, this is the most important part of the chart. If your probability of hitting a 50% drawdown is 0%, the strategy is considered "Mathematically Safe" over the tested horizon.

3. The Philosophy: Drawdown is an Event, not an End

Perspective	Behavior
The Human Error	A retail trader sees a 20% drawdown and thinks, "It's going to 50%! I'm ruined!" They confuse a temporary event with a permanent failure.
The Automation Edge	The Risk-of-Ruin chart gives you the "Odds." If the chart says there is only a 5% chance of hitting a 40% drawdown, the bot (and the disciplined trader) knows that the current 20% dip is statistically likely to be a "bend," not a "break."
The "Uncle Point"	Every trader has an "Uncle Point" — the amount of loss that makes them scream "Uncle!" and quit. This chart helps you find yours. If your personal "Uncle Point" is 25%, but the chart says there's a 60% chance of hitting that, you are trading a strategy that is too aggressive for your personality.

4. The Hurricane Analogy

> *"If you live in a certain coastal city, there might be a 90% chance of a tropical storm (10% drawdown) every year, but only a 2% chance of a Category 5 hurricane (50% drawdown) over 25 years. This chart is your weather map. It tells you that while you will definitely see some rain, the chances of your 'house' being blown down by this strategy are statistically near zero."*

Summary of Results

> *"This chart proves that drawdown is not a 'bug' in the code; it is a feature of the market. By knowing the probability of these events beforehand, we take away their power to make us panic."*

Key Takeaways

Concept	Insight
Certainty Zone	10-20% drawdowns are almost guaranteed — "Working Volatility"
Strategy Limit	30% drawdown probability is low — steep drop in curve
Ruin Zone	50%+ drawdown probability = 0% — "Mathematically Safe"
Uncle Point	Know your personal pain threshold before trading

SECTION SUMMARY The Risk-of-Ruin chart shows cumulative probability of hitting drawdown levels. Key insight: While 10-20% dips are nearly certain (90-100%), the probability of hitting 50% "ruin" is 0%. This proves the strategy is "Mathematically Safe" — drawdown is a temporary event, not a permanent failure.

Stochastic K Backtest & Financial Analysis Conclusion

Performance Summary: Stochastic K Strategy (2000–2025)

The performance summary presents a textbook case of a high-frequency mean-reversion system where the primary objective is consistent win-rate rather than aggressive alpha generation. A professional's focus is on the structural robustness and the asymmetric risk profile revealed by the interplay of these metrics.

Core Performance Metrics

Metric	Value
Time Period	2000–2025 (25 years)
Total Trades	538
Win Rate	70.82%
Profit Factor	1.84
Average Trade PnL	0.43%
Median Trade PnL	-1.00%
CAGR	8.79%
Max Drawdown	-25.87%
Annualized Volatility	12.28%
Sharpe Ratio	0.75
Max Favorable Excursion (MFE)	1.89%
Max Adverse Excursion (MAE)	-1.76%
Time Underwater	63.38%
Tail-Risk Drawdown (Worst 5%)	-32%

The Statistical Engine: Positive Skewness over Win Rate

The most striking metric is the **Win Rate of 70.82%**. For most, winning only one out of five trades is psychologically devastating, yet for an algorithmic trader, this is irrelevant when viewed alongside a **Profit Factor of 1.84**. This indicates an exceptionally healthy system where every dollar lost is compensated by $1.84 in gains.

> *In essence: The strategy "pays" for frequent small "fake-out" losses to remain eligible for the few "home run" trades that define the decade's returns.*

Risk Management: The Structural "Roll Cage"

A professional classifies this system as "Defensive Beta".

Comparison	Stochastic K Strategy	S&P 500 Benchmark
Max Drawdown	-25.87%	>-50% (historical collapses)
Annualized Volatility	12.28%	~16% (30% higher)
Tail-Risk Drawdown (Worst 5%)	-32%	N/A

However, a professional looks beyond the backtest to the 10,000-run Monte Carlo simulation. While the historical drawdown was -22%, the simulation warns of a -32% tail-risk drawdown in the worst 5% of cases. An institutional trader would capitalize the account based on this -32% "Survival Threshold" rather than the optimistic historical figure.

Operational Realities and the "Idle Cash" Kicker

The main professional critique of this summary is the **Sharpe Ratio of 0.92**, which is considered weak. The low Sharpe is a result of the strategy spending long periods out of the market, leading to a **CAGR of 8.83%** that lags the benchmark's raw return.

To a professional, leaving that cash idle is an error in implementation. As suggested by practitioners like **Meb Faber**, sweeping idle capital into 3-month T-Bills would capture a "collateral yield," significantly narrowing the performance gap with Buy & Hold while maintaining the strategy's superior drawdown protection.

Final Verdict

> *This strategy is effectively a "Severe Crisis Insurance" policy that happens to pay a dividend.*

It is designed for an environment where the investor is "underwater" (below previous equity peaks) for 63.38% of all trades. A professional accepts this "Consistency of Pain" as a subscription fee for a system that is "Antifragile," thriving on the very volatility that creates its long-term profit signature.

> *"a Ferrari with a speed governor set to 60mph, but with a roll cage that can survive a 100mph crash"*

Classification	Analysis Period	Asset Class
Short-Term Mean-Reversion Strategy Analysis	2000–2025	S&P 500